

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO H.B. 2174
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 20-235, Arizona Revised Statutes, is amended to
3 read:

4 20-235. Insurers; financial disclosure; requirements

5 A. The director may adopt rules which require each insurer licensed
6 to write property or casualty insurance in this state to report its loss
7 and expense experience, investment income, administrative expenses and
8 other data, as he may require, for classes of risks which he may
9 designate. Such reports shall be in addition to the annual statement
10 required by section 20-223.

11 B. The department may designate one or more rate service
12 organizations or ~~advisory organizations~~ MODELING AND DATA ORGANIZATIONS to
13 gather and compile the experience and data.

14 C. The director by order may require an insurer authorized to
15 transact insurance in this state to submit statistical and other financial
16 data including the information prescribed in subsection A of this section
17 in a form and content consistent with rules adopted pursuant to subsection
18 A, with any model guideline, regulation, rule or act adopted by the
19 national association of insurance commissioners or with the classification
20 basis used by the insurer. The director shall prescribe the time period
21 and form in which the data shall be submitted.

22 D. An insurer who fails to provide the information required under
23 subsection C of this section is subject to payment of a late fee of not
24 more than one hundred dollars for each day of delinquency. The director
25 shall notify an insurer of late fees that it will incur as a result of
26 noncompliance with this section at least ten days prior to the date any
27 such late fees become due.

1 Sec. 2. Section 20-341, Arizona Revised Statutes, is amended to
2 read:

3 20-341. Purpose of insurance rate regulation

4 A. The purpose of this article is to promote the public welfare by
5 regulating insurance rates to the end that they shall not be excessive,
6 inadequate or unfairly discriminatory, and to authorize and regulate
7 cooperative action among insurers in rate making and in other matters
8 within the scope of this article. Nothing in this article is intended to
9 prohibit or discourage reasonable competition, or to prohibit or
10 encourage, except to the extent necessary to accomplish the purpose stated
11 in this section, uniformity in insurance rates, rating systems, rating
12 plans or practices. This article shall be liberally interpreted to carry
13 into effect the provisions of this section.

14 B. Where the rules and regulations of a rating bureau or ~~advisory~~
15 ~~organization~~ MODELING AND DATA ORGANIZATION conflict with the law, the
16 rules and regulations do not apply.

17 Sec. 3. Section 20-368, Arizona Revised Statutes, is amended to
18 read:

19 20-368. Modeling and data organizations

20 A. Every group, association or other organization of insurers,
21 whether located within or outside this state, which assists insurers which
22 make their own filings or rating organizations in rate making, by the
23 collection and furnishing of loss or expense statistics, or by the
24 submission of recommendations, but which does not make filings under this
25 article, shall be known as ~~an advisory organization~~ A MODELING AND DATA
26 ORGANIZATION.

27 B. Every ~~advisory organization~~ MODELING AND DATA ORGANIZATION shall
28 file with the director:

29 1. A copy of its constitution, its articles of agreement or
30 association or its certificate of incorporation and a copy of its bylaws,
31 rules and regulations governing its activities.

32 2. A list of its INSURER members, IF APPLICABLE.

33 3. The name and address of a resident of this state upon whom
34 notices or orders of the director or process affecting the ~~advisory~~
35 ~~organization~~ MODELING AND DATA ORGANIZATION may be served.

36 ~~4. An agreement that the director may examine the advisory~~
37 ~~organization in accordance with the provisions of section 20-370.~~

38 C. If, after a hearing, the director finds that the furnishing of
39 such information or assistance involves any act or practice which is
40 unfair or unreasonable or otherwise inconsistent with the provisions of
41 this article, he may issue a written order specifying in what respects
42 such act or practice is unfair or unreasonable or otherwise inconsistent,
43 and requiring the discontinuance of such act or practice.

44 D. No insurer which makes its own filings nor any rating
45 organization shall support its filings by statistics or adopt rate making
46 recommendations furnished to it by ~~[an] advisory organization~~ [A] MODELING
47 AND DATA ORGANIZATION which has not complied with this section or with an

1 order of the director involving such statistics or recommendations issued
2 under subsection C of this section. If the director finds the insurer or
3 rating organization to be in violation of this subsection, he may issue an
4 order requiring the discontinuance of the violation.

5 E. THIS SECTION DOES NOT PRECLUDE A MODELING AND DATA ORGANIZATION
6 FROM FILING A MODEL PURSUANT TO SECTION 20-390, SUBSECTION C.

7 Sec. 4. Section 20-370, Arizona Revised Statutes, is amended to
8 read:

9 20-370. Examinations of rating organizations

10 A. The director, as often as he deems it expedient, may make or
11 cause to be made an examination of each rating organization licensed in
12 this state, ~~each advisory organization referred to in section 20-368~~ and
13 each group, association or other organization referred to in section
14 20-369. The reasonable costs of such examination shall be paid by the
15 rating organization, ~~advisory organization~~ or group, association or other
16 organization examined upon presentation to it of a detailed account of the
17 cost.

18 B. The officers, managers, agents and employees of the rating
19 organization, ~~advisory organization~~ or group, association or other
20 organization may be examined at any time under oath, and shall exhibit all
21 books, records, accounts, documents or agreements governing its method of
22 operation.

23 C. The director shall furnish two copies of the examination report
24 to the organization, group or association examined and shall notify the
25 organization, group or association that, within twenty days thereafter, it
26 may request a hearing on the report or on any facts or recommendations in
27 the report. Before filing the report for public inspection, the director
28 shall grant a hearing to the organization, group or association examined.

29 D. The report of the examination, when filed for public inspection,
30 shall be admissible in evidence in any action or proceeding brought by the
31 director against the organization, group or association examined, or its
32 officers or agents, and shall be prima facie evidence of the facts stated
33 in the report.

34 E. The director may withhold the report of the examination from
35 public inspection for such time as the director deems proper.

36 F. In lieu of the examination, the director may accept the report
37 of an examination made by the insurance supervisory official of another
38 state, pursuant to the laws of such state.

39 Sec. 5. Section 20-381, Arizona Revised Statutes, is amended to
40 read:

41 20-381. Definitions

42 In this article, unless the context otherwise requires:

43 ~~1. "Advisory organization":~~

44 ~~(a) Means any person other than a single insurer who assists two or~~
45 ~~more insurers or rate service organizations in the making of rates by~~
46 ~~compiling and furnishing loss or expense statistics or other statistical~~

~~1 information and data, or by the submission of recommendations as to rates,
2 forms or supplementary rate information.~~

~~3 (b) Does not include a joint underwriting association, any
4 actuarial or legal consultant, any employee of an insurer or insurers
5 under common control or management or their employees or manager.~~

~~6 2.~~ 1. "Loss cost adjustment":

7 (a) Means that portion of a rate filed by an insurer with the
8 director that includes the insurer's general expenses, total product
9 expenses, taxes, licenses and fee expenses and underwriting profit and
10 contingencies.

11 (b) Does not include loss adjustment expenses or prospective loss
12 costs.

13 ~~3.~~ 2. "Loss cost modification factor" means that rating factor
14 filed by an insurer with the director for the purpose of modifying the
15 rate service organization's prospective loss cost filing.

16 3. "MODELING AND DATA ORGANIZATION":

17 (a) MEANS ANY PERSON OTHER THAN A SINGLE INSURER WHO ASSISTS TWO OR
18 MORE INSURERS OR RATE SERVICE ORGANIZATIONS IN THE MAKING OF RATES BY
19 COMPILING AND FURNISHING LOSS OR EXPENSE STATISTICS OR OTHER STATISTICAL
20 INFORMATION AND DATA, OR BY THE SUBMISSION OF RECOMMENDATIONS AS TO RATES,
21 FORMS OR SUPPLEMENTARY RATE INFORMATION.

22 (b) DOES NOT INCLUDE A JOINT UNDERWRITING ASSOCIATION, ANY
23 ACTUARIAL OR LEGAL CONSULTANT, ANY EMPLOYEE OF AN INSURER OR INSURERS
24 UNDER COMMON CONTROL OR MANAGEMENT OR THEIR EMPLOYEES OR MANAGER.

25 4. "Prospective loss costs" means the historical aggregate losses
26 and loss adjustment expenses filed by a rate service organization with the
27 director on which a portion of a rate is based, adjusted through actuarial
28 trending to a future point in time and developed to their ultimate values.

29 5. "Rate":

30 (a) Means that cost of insurance per exposure unit whether
31 expressed as a single number or as a prospective loss cost with an
32 adjustment to account for the treatment of expenses, profit and individual
33 insurer variation in loss experience before any application of individual
34 risk variations based on loss or expense considerations.

35 (b) Does not include the minimum premium.

36 6. "Rate service organization":

37 (a) Means any person other than a single insurer who assists
38 insurers by compiling and furnishing loss or expense statistics and
39 recommending, making or filing rates, forms or supplementary rate
40 information.

41 (b) Does not include a joint underwriting association, any
42 actuarial or legal consultant, any employee of an insurer or insurers
43 under common control or management, or their employees or manager.

44 7. "Supplementary rate information":

45 (a) Means any manual or plan of rates, statistical plan,
46 classification, rating schedule, minimum premium, schedule of fees,
47 including membership fees charged by a reciprocal or mutual insurer,

1 rating rule, rate related underwriting rule and other information used by
2 an insurer in making rates.

3 (b) Does not include the final rate pages that combine the
4 prospective loss costs with the loss cost adjustments.

5 Sec. 6. Section 20-387, Arizona Revised Statutes, is amended to
6 read:

7 20-387. Delegation of rate making and rate filing obligations

8 A. An insurer may establish rates and supplementary rate
9 information based on the factors in section 20-384 using, if desired, the
10 recommendations of ~~an advisory organization~~ A MODELING AND DATA
11 ORGANIZATION, or rates and supplementary rate information prepared by a
12 rate service organization, with average expense factors determined by the
13 rate service organization or with such modification for its own expense
14 and loss experience as the credibility of that experience allows.

15 B. An insurer may discharge its obligations pursuant to section
16 20-385 by giving notice to the director that it uses rates and
17 supplementary rate information prepared by a designated rate service
18 organization, with such information about modifications of the rates as is
19 necessary to inform the director. The insurer's rates and supplementary
20 rate information are those filed by the rate service organization,
21 including any amendments to the rate as filed, subject to the
22 modifications filed by the insurer.

23 C. Licensed rate service organizations, ~~advisory organizations~~
24 MODELING AND DATA ORGANIZATIONS and admitted insurers are authorized to
25 exchange information and experience data with rate service organizations,
26 ~~advisory organizations~~ MODELING AND DATA ORGANIZATIONS and insurers in
27 this and other states and may consult with them with respect to rate
28 making.

29 Sec. 7. Section 20-388, Arizona Revised Statutes, is amended to
30 read:

31 20-388. Disapproval of rates

32 If the director finds that a rate is not in compliance with section
33 20-383, the director shall issue an order specifying in what respects it
34 so fails and stating that, within thirty days after the order is issued,
35 the rate is no longer effective. The order does not affect any contract
36 or policy made or issued prior to the effective date of the order. The
37 order shall be served immediately pursuant to section 20-151. Any
38 insurer, rate service organization or ~~advisory organization~~ MODELING AND
39 DATA ORGANIZATION may request a hearing pursuant to title 41, chapter 6,
40 article 10, and the request for a hearing stays the effectiveness of the
41 order as provided in section 20-162.

42 Sec. 8. Section 20-390, Arizona Revised Statutes, is amended to
43 read:

44 20-390. Modeling and data organizations; filing with director

45 A. ~~An advisory organization~~ A MODELING AND DATA ORGANIZATION shall
46 not conduct its operations in this state until it files with the director:

1 1. A copy of its constitution, charter, articles of organization,
2 agreement, association or incorporation and a copy of its bylaws and any
3 other rules or regulations governing its activities.

4 2. A list of its INSURER members and subscribers, IF APPLICABLE.

5 3. The name and address of one or more residents of this state upon
6 whom notices, process affecting it or orders of the director may be
7 served.

8 B. ~~An advisory organization~~ A MODELING AND DATA ORGANIZATION shall
9 promptly file any amendments to a document required to be filed pursuant
10 to this section.

11 C. A MODELING AND DATA ORGANIZATION ~~[MAY]~~ [SHALL] FILE WITH THE
12 DIRECTOR MODELS TO BE USED BY INSURERS IN THIS STATE FOR MAKING
13 RATES. THE DIRECTOR MAY REQUIRE THE MODELING AND DATA ORGANIZATION TO
14 FILE SUPPORTING DATA OR ANY ADDITIONAL INFORMATION RELATED TO THE CONTENT
15 OF THE MODEL AND THE OUTPUTS OF THE MODEL NECESSARY TO VERIFY THAT THE
16 MODEL COMPLIES WITH THE REQUIREMENTS OF THIS TITLE.

17 D. MODELS, ANY SUPPORTING DATA OR ADDITIONAL INFORMATION REQUESTED
18 BY THE DIRECTOR AND MODEL OUTPUTS FILED BY MODELING AND DATA ORGANIZATIONS
19 PURSUANT TO SUBSECTION C OF THIS SECTION ARE CONFIDENTIAL AND NOT SUBJECT
20 TO SUBPOENA OR TITLE 39, CHAPTER 1.

21 ~~E.~~ E. It is unlawful for ~~an advisory organization~~ A MODELING AND
22 DATA ORGANIZATION to engage in any unfair or unreasonable practice.

23 Sec. 9. Section 20-392, Arizona Revised Statutes, is amended to
24 read:

25 20-392. Rate agreements among insurers prohibited

26 A. Except with respect to apportionment agreements among insurers
27 approved by the director pursuant to section 20-395, an insurer shall not
28 assume any obligation to any person, other than a policyholder or other
29 insurers which, with it, are under common control or management or are
30 members of a joint underwriting or joint reinsurance organization, to use
31 or adhere to certain rates or rules. No person other than the director
32 may impose any penalty or other adverse consequence for failure of an
33 insurer to adhere to certain rates or rules.

34 B. Members and subscribers of rate service organizations or
35 ~~advisory organizations~~ MODELING AND DATA ORGANIZATIONS may use the work
36 products and services of such organizations as their individual judgment
37 may dictate. Such use by two or more authorized insurers shall not be
38 sufficient to support a finding that an agreement to adhere exists and may
39 be used only for the purpose of supplementing direct evidence of such an
40 agreement.

41 Sec. 10. Section 20-393, Arizona Revised Statutes, is amended to
42 read:

43 20-393. Recording and reporting of experience

44 The director shall promulgate reasonable rules, including rules
45 providing statistical plans, for use by all insurers in the recording and
46 reporting of loss and expense experience, in order that the experience of
47 such insurers may be made available to the director. No insurer may be

1 required to record or report its experience on a classification basis
2 inconsistent with its own rating system. An insurer may report its
3 experience to any rate service organization or ~~advisory organization~~
4 ~~MODELING AND DATA ORGANIZATION~~ with which it affiliates.

5 Sec. 11. Section 20-394, Arizona Revised Statutes, is amended to
6 read:

7 20-394. Examination of rate service organizations and joint
8 underwriting and joint reinsurance organizations

9 The director, as often as considered necessary, may examine each
10 rate service organization[, ~~each~~ ~~advisory organization~~ ~~[MODELING AND DATA~~
11 ~~ORGANIZATION]~~ and each group, association or other organization filing
12 pursuant to section 20-391. The director shall examine only those
13 activities conducted pursuant to this article. The director may examine
14 the officers, manager, agents and employees of such organizations at any
15 time under oath. The organization examined shall pay the reasonable costs
16 of the examination upon presentation to it of a detailed account of the
17 costs. The organization examined shall exhibit all books, records,
18 accounts, documents or agreements governing its method of operation. In
19 lieu of the examination the director may accept the report of an
20 examination made by the insurance supervisory official of another state,
21 pursuant to the laws of such state.

22 Sec. 12. Section 20-396, Arizona Revised Statutes, is amended to
23 read:

24 20-396. Hearing and judicial review

25 Any insurer, rate service organization or ~~advisory organization~~
26 ~~MODELING AND DATA ORGANIZATION~~ to which the director has issued an order
27 or decision may request a hearing pursuant to title 41, chapter 6, article
28 10 and, except as provided in section 41-1092.08, subsection H, seek
29 judicial review pursuant to title 12, chapter 7, article 6.

30 Sec. 13. Section 20-409, Arizona Revised Statutes, is amended to
31 read:

32 20-409. Recognized surplus lines

33 A. If after a hearing the director finds that a particular
34 insurance coverage or type, class or kind of coverage is not readily
35 procurable from authorized insurers, the director may by order declare
36 such coverage or coverages to be recognized surplus lines until the
37 director's further order.

38 B. The order is subject to modification by the director. The
39 director shall modify any coverage if the director determines that the
40 coverage is no longer entitled to recognition as surplus lines after a
41 hearing held on the director's initiative or on the request of any
42 insurance producer, surplus lines broker, broker, insurer, rating or
43 ~~advisory organization~~ ~~MODELING AND DATA ORGANIZATION~~, or other person.

1 Sec. 14. Section 20-3604, Arizona Revised Statutes, is amended to
2 read:

3 20-3604. Rules

4 A. The director may adopt rules pursuant to title 41, chapter 6 to
5 carry out this article.

6 B. The rules may include regulation of reinsurance arrangements
7 relating to any of the following:

8 1. Life insurance policies with guaranteed nonlevel gross premiums
9 or guaranteed nonlevel benefits.

10 2. Universal life insurance policies with provisions resulting in
11 the ability of a policyholder to keep a policy in force over a secondary
12 guarantee period.

13 3. Variable annuities with guaranteed death or living benefits.

14 4. Long-term care insurance policies.

15 5. Any other life and health insurance and annuity products for
16 which the national association of insurance commissioners adopts model
17 regulatory requirements with respect to credit for reinsurance.

18 C. Any rule adopted pursuant to subsection B, paragraph 1 or 2 of
19 this section may apply to any treaty that contains either or both:

20 1. Policies issued on or after January 1, 2015.

21 2. Policies issued before January 1, 2015, if risk pertaining to
22 such pre-2015 policies is ceded in connection with the treaty, in whole or
23 in part, on or after January 1, 2015.

24 D. Any rule adopted pursuant to subsection B of this section:

25 1. May require the ceding insurer, in calculating the amounts or
26 forms of security required to be held pursuant to rules adopted by the
27 department, to use the valuation manual adopted by the national
28 association of insurance commissioners under section 11B(1) of the
29 national association of insurance commissioners standard valuation law,
30 including all amendments adopted by the national association of insurance
31 commissioners and in effect on the date as of which the calculation is
32 made, to the extent applicable.

33 2. Does not apply to cessions to an assuming insurer that ~~is~~
34 ~~licensed in at least twenty-six states or that is licensed in at least ten~~
35 ~~states and licensed or accredited in a total of at least thirty-five~~
36 ~~states and that~~ either:

37 (a) Meets the conditions prescribed in section 20-3602, subsection
38 H in this state.

39 (b) Is certified in this state.

40 (c) Maintains at least \$250,000,000 in capital and surplus as
41 determined in accordance with the accounting practices and procedures
42 manual and amendments adopted by the national association of insurance
43 commissioners, excluding the impact of any allowed or prescribed
44 practices, AND THAT IS EITHER:

45 (i) LICENSED IN AT LEAST TWENTY-SIX STATES.

46 (ii) LICENSED IN AT LEAST TEN STATES AND LICENSED OR ACCREDITED IN
47 A TOTAL OF AT LEAST THIRTY-FIVE STATES.

Senate Amendments to H.B. 2174

1 E. The authority to adopt rules pursuant to subsection B of this
2 section does not limit the department's general authority to adopt rules
3 pursuant to subsection A of this section.

4 Enroll and engross to conform
5 Amend title to conform

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